As was revealed at the arbitration hearings years later, Priebe purchased $18.9 million in variable annuities for the foundation, earning himself $1.2 million in commissions. The size of that commission check alone should make you sit up and pay attention, but even more egregious is the variable annuity vehicle.

The biggest advantage of annuities is their tax-deferred status. Similar to IRAs and 401(k)s, annuity holders don't have to pay taxes until they withdraw their money, decades down the road. This is useful for investors in high tax brackets who maxed out all of their other qualified tax deferred alternatives.

But a nonprofit foundation funded with after-tax dollars? It's the worst possible vehicle—expensive and underperforming on an after-tax basis, with no advantages other than that enormous commission check. Matthew Wright is the former chief investment officer of Vanderbilt University and president of Disciplina Group, specializing in asset management for nonprofits. "I've never heard of a nonprofit entity purchasing variable annuities as part of an investment strategy," he told the *WSJ*.

And those commission checks kept getting larger. The insurance broker Priebe charged the foundation annual fees of 2% and carried commissions that could exceed 6%. The *WSJ* reported total commissions were $3.3 million, or even higher.

Not only that, but the performance was abysmal. Priebe's investments over six years had lost $2 million of the foundation's assets, even as the stock market had more than doubled.

The Rosenau Family Research Foundation won an arbitration that ordered Principal Securities to repay $7.3 million in compensatory damages; that's a fraction of what the Foundation's assets would have been worth had they been invested properly.

Are you detecting a pattern yet?